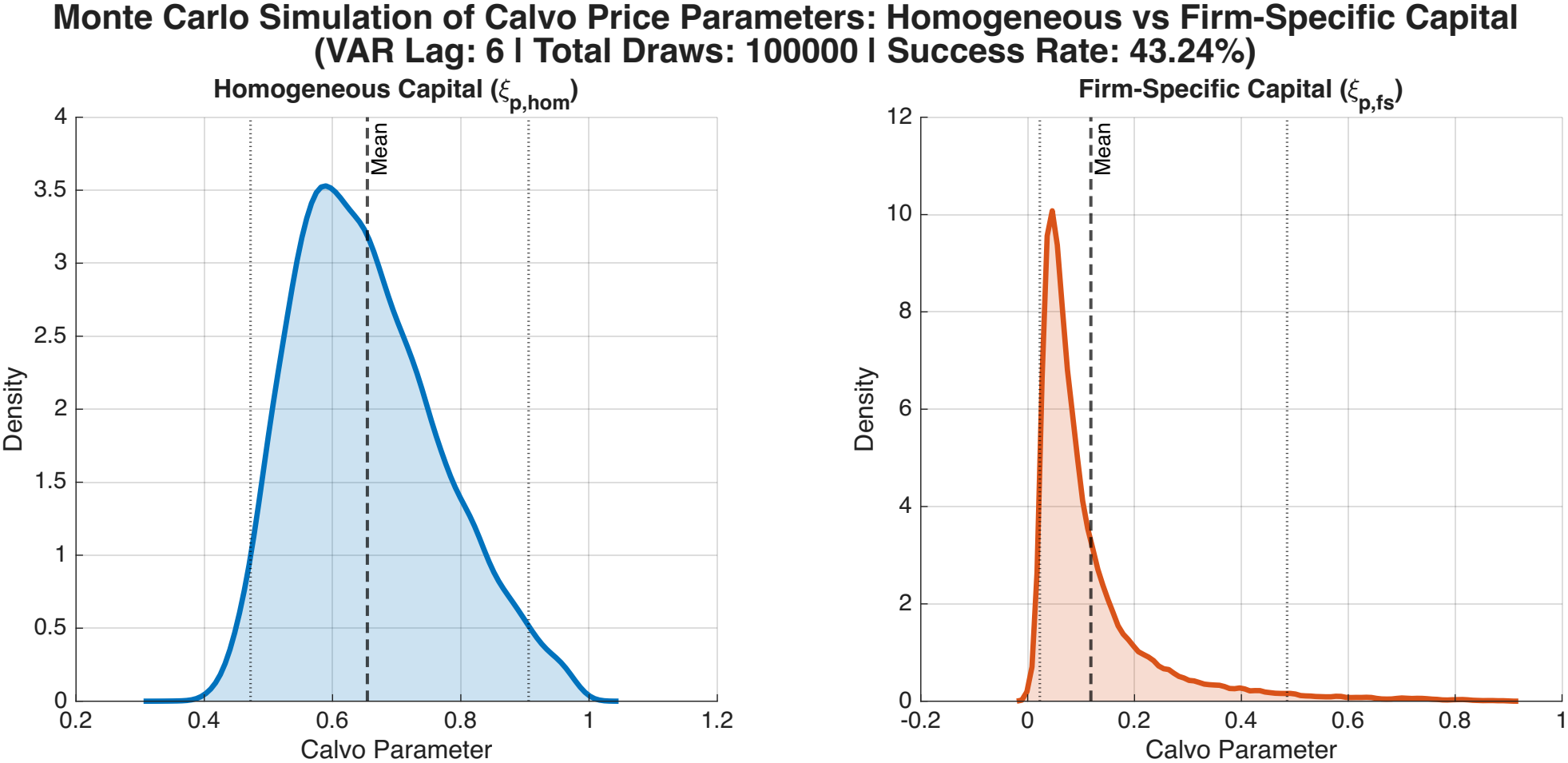
Monte Carlo Simulation of Calvo Price Parameters: Homogeneous vs Firm-Specific Capital
(VAR Lag: 6 | Total Draws: 100000 | Success Rate: 43.24%)
Homogeneous Capital ($\xi_{p,hom}$)
Mean
Density
Calvo Parameter
0
0.5
1
1.5
2
2.5
3
3.5
4
0.2
0.4
0.6
0.8
1
1.2
Firm-Specific Capital ($\xi_{p,fs}$)
Mean
Density
Calvo Parameter
0
2
4
6
8
10
12
-0.2
0
0.2
0.4
0.6
0.8
1